

MODULE 5

INDIAN BUSINESS ENVIRONMENT

Nature, Scope, Structure of Indian Business Environment, Internal and External Environment. Political and Legal Environment, Economic Environment, Socio– Cultural Environment, Global Environment. Private Sector, Growth, Problems and Prospects, SMEs, Significance in Indian economy, challenges and prospects. Fiscal policy and Monetary Policy: Meaning of Fiscal policy, three main types of fiscal policy – neutral policy, expansionary, and contractionary. Monetary policy: Meaning, Objectives of monetary policies: Controlling inflation, Managing employment levels, and Maintaining long-term interest rates. (Theory only)

Meaning of Business Environment :–

Business environment refers to those aspects of the surroundings of business enterprise which have influence on the functioning of business. An organization can survive and grow only when it continuously and quickly adopts to changing environment.

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Acc. to Keith Davis, “Business Environment is the aggregate of all conditions, events and influence that surround and affect the business.”

NATURE AND SCOPE OF BUSINESS ENVIRONMENT:

1. Complex

- Business environment is complex in nature. It consists of several factors, conditions and events which directly influence the functioning of business. These factors influence the productivity and profitability of business. It is quite difficult to understand how a particular factor affects the operations of business. Different factors affect differently the performance of business.

2. Dynamic

- Business environment is a dynamic concept and keeps on changing continuously. Various factors which constitute business environment are always changing from time to time.
- These changes are in terms of :
 - changes in customer preferences, technological improvements, new competitor's entry etc.
- These ever changing factors bring changes in character and shape of business environment

making it dynamic.

3. Interdependence

Factors of business environment are dependent on each other. Business environment include economic, social, legal, technological and political factors. Changes in any one of the factors will bring changes in several other factors. Like countries having better economy are able to enhance their technology by incurring sufficient expenditure on research and development.

4. Uncertain

Factors which constitute business environment are uncertain. It is quite difficult to predict several future conditions because no one knows what is going to happen in nature. These factors changes too frequently like changes in fashion, technology, demand and economic conditions.

5. Relativity

Business environment is relative in nature which means that it changes from one place to another and from one country to another. Economic conditions In Canada are different from those in India. Similarly, demand for women's shalwar kameez is high in India than in U.S.A.

6. System Approach

Business environment is a systematic approach which facilitates business in its functioning. Business is a system which manufactures the products and services. It satisfies the wants of customers by taking several inputs like raw materials, capital, labour etc. from environment and delivering the required goods and services. In original, business is a system by which it produces goods and services for the satisfaction of wants, by using several inputs, such as, raw material, capital, labor etc. from the environment.

7. Social Responsibility Approach

Social responsibility is another important characteristic. According to this, business exists for serving various members of society. These include shareholders, employees, customers, government etc In this approach business should fulfill its responsibility towards several categories of the society such as consumers, stockholders, employees, government etc.

8. Creative Approach:

As per this approach, business gives shape to the environment by facing the challenges and availing the opportunities in time. The business brings about changes in the society by giving attention to the needs of the people.

SCOPE OF BUSINESS ENVIRONMENT

- **Identifies Business Opportunities And Threats**

Business environment helps business in identification of various opportunities and threats. When business is able to detect market opportunities timely, they can easily take advantages of such opportunity at earliest. They can earn maximum returns by availing such opportunity before the competitors. By proper interaction between business and its environment all threats can be easily detected. It will enable business in taking corrective measures timely.

- **Helps In Planning And Policy Formulation**

Proper understanding of business environment helps in formulating better policies and strategies. It conveys all current information regarding market conditions to business. All opportunities and threats are scanned through the study of the business environment. Businessmen are properly aware of environment and thereby take all decisions according to it. Their entire plan can be changed effectively and efficiently through environmental awareness.

- **Provides Useful Resources**

Business depends on the environment in which they operate for several resources. Business environment supplies several inputs like raw materials, capital and labour which are used by the business for its operations. These inputs are converted into goods and services for satisfying the needs of the market. Without proper supply of inputs, business cannot continue its operations. It is fully dependent upon environment for taking inputs and delivering the required goods or services.

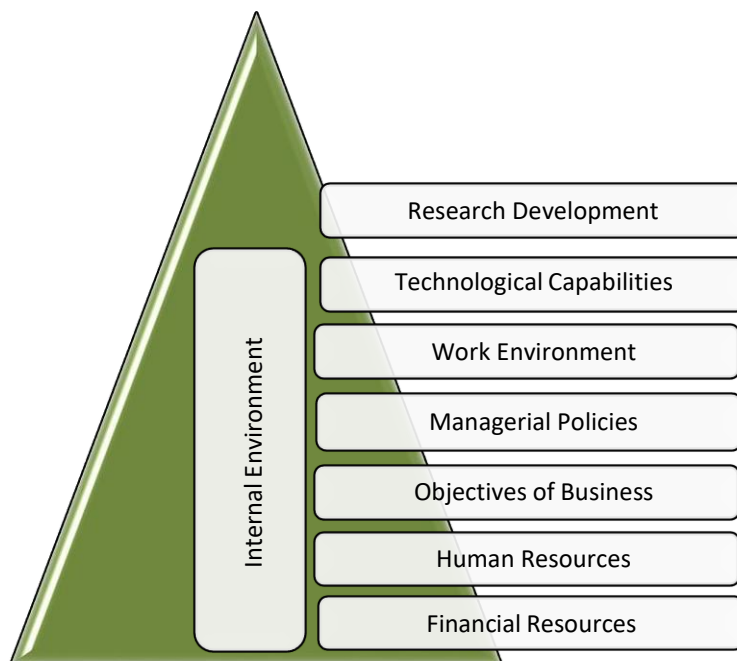
- **Improves Performance**

Business environment has an effective role in accelerating the overall performance of business organisations. Through continuous environmental awareness, managers update their knowledge and skills. Environmental study serves as the medium of educating management.

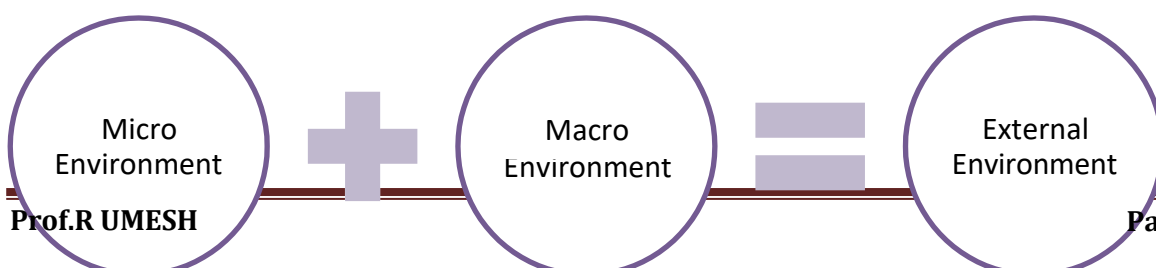
STRUCTURE /COMPONENTS OF BUSINESS ENVIRONMENT :-

Business Environment has two components :-

- a) **Internal Environment** :- Internal Environment refers to environment within the organization. It includes internal factors of the business which can be controlled by business. It includes objectives of business, managerial policies, management and employees of the organization, labor management relationship, brand image and corporate image, working conditions in the organization, technological and research and development capabilities etc. Internal environment includes 5 M's i.e. men, material, money, machinery, management available with business. These components are usually within the control of business.



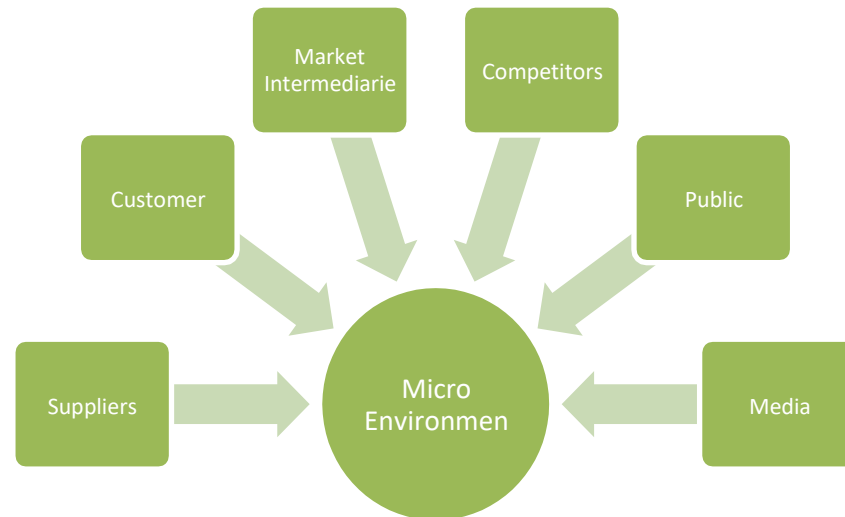
- b) **External Environment** :- External Environment refers to external aspects of the surroundings of business enterprise which have influence on the functioning of business. These factors beyond the control of business. External environment includes factors outside the firm which can provide opportunities or pose threats to the firm. External environment has two types :- i) Micro Environment ii) Macro Environment



Micro Environment

:- Macro

Environment :- The micro environment of a company consists of elements that directly affect the company. It includes suppliers, customers, market intermediaries,



competitors and public etc., which is explained as below :-

- i) **Suppliers** :Suppliers are those who supply raw materials and components of the company. Every business requires the suppliers. If our supplier is reliable, our business will run smoothly. If our supplier is not reliable, we have to maintain high inventories.
- ii) **Customer** :-Customer is the central point of the business. The success of a business organization depends upon the customers, their needs, tastes etc. Now a days the competition is growing so it is very essential to satisfy the customer. For attracting new customers companies conduct consumer research, provide after saleservices etc.
- iii) **Market Intermediaries** :-Market Intermediaries which include agents and brokers who help the company to find customers. It is a link between company and consumer. Market intermediaries help the company to promote sell and distribute its goods to final buyers. Market intermediaries include middlemen, marketing agencies, financial intermediaries, physical intermediaries etc.
- iv) **Competitors** :- Competitors means other business units which are producing similar products or a very close substitute of our product. Now a days competitionhas increased. No business units enjoys monopoly in the market. So the business has to satisfy the customer for the success in the market.
- v) **Public** :-Public is group that has actual or potential interest in the business. So public also affect the business. Media also affect the business.
- vi) **Media** :- It includes al newspaper, magazines, journals etc. Media also affects thereputation of the company.

Macro Environment :—Macro Environment means general environment of business. These factors are uncontrollable. These factors create opportunities and pose threats to the business. It includes economic, demographic, natural, technological, political and cultural environments.

i) **Economic Environment** :— Economic Environment refers to those economic factors which have impact on the working of business. Economic environment is very complex in nature. It is very dynamic. It has three elements :-

- a) **Economic Conditions** :— Economic conditions of the economy affect the business. Economic conditions include income level, distribution of income, demand and supply trends etc. If the economy is in boom conditions, it positively affects demand and market share. On the other hand if the economy is in depression, it will have a negative effect on the business.
- b) **Economic Policies** :— Economic policies are framed by government. These policies establish a relationship between business and government. The effect of these policies may be favorable or unfavorable.
- c) **Economic System** :— Different economic systems prevail in different countries. These systems affect the business. The economic system includes capitalism, socialism and mixed economy

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Political & Legal Environment :— Political Environment affects the different business units. A stable and dynamic political environment is very necessary for business growth. Political environment includes political stability in the country, relation of the government with other countries, welfare activities of government, centre state relationship, thinking of opposition parties towards business. If the political system is stable and efficient then the business grows. In the lack of political stability long term plans cannot be formulated. Thus business is adversely affected if the government is not stable. Similarly relations of government with other countries also affect business. If a country enjoys friendly relations with other nations, then it has a favorable effect on foreign trade.

Socio Cultural Environment :— Socio- Cultural Environment refers to social and cultural factors which are beyond the control of business unit. Such factors include attitude of people at work, family system, caste system, education, habits, language, religion etc. Socio-cultural environment is one of the important non-economic external components of business environment. Religion has considerable effect on business. Some religions restrict their

followers from doing a particular type of business, e.g. Jain religion does not allow its followers to engage in leather industry, wine making etc. Similarly difference in language is another problem area in national level and international level business. The businessman must be familiar with the local language of the place where business is to be operated.

iii) **Technological Environment** :– Technological environment is most important factor which affect the business enterprise. The faster changes in technology create problems for business enterprise. Product have shorter life span than the past because of rapid technological development. Technology provides a various advantage. Success in many industries depends on a innovation and research. For promote innovation and research some companies establish research and development department in their enterprise. For example Japanese industries have achieved a great success because of innovation and rapid technological up gradation

iv) **Natural Environment** :– Natural Environment refers to geographical and ecological factors which are beyond the control of the enterprise. It includes natural resources, weather and climatic conditions, landforms rainfall, environmental pollution etc. Climate and weather conditions affect the location certain industries like textile industry. Similarly environment pollution in the form of air pollution, water pollution and noise pollution have caused disturbances in ecological balance. Government has framed various Acts for the control of environmental pollution. The business enterprise must keep in mind these factors.

v) **Demographical Environment** :– Demographical environment affect the business externally. Demographic environment differs from country to country and from place to place within the same country. Demographic factors includes size of population and population growth, family size, age composition, sex composition, urban-rural population education level etc. Huge population size indicate cheap labor and more demand in the economy. If population size is large then there will be more demand for goods and services. It will have favorable effect on business. Similarly, Education level is also important demographic factor affecting business. If public is highly educated, supply of unskilled labor will decrease. On the other hand if education level is low then supply of unskilled labor will increase.

vi) **International Environment** :– International Environment is the important component of the business environment. International environment affect the business differently. International environment is very important for certain types of business. It is

particularly important for industries directly depending on imports or exports. Recession in foreign market may create difficulties for industries depending on exports. Liberalization of imports may help some industries but may adversely affect other industries. For eg. the entry of multinationals such as LG, Samsung in electronics industry has adversely affected the marketshare of domestic business firms.

DIFFERENCE BETWEEN MICRO AND MACRO ECONOMICS

Parameter	Micro Economics	Macro Economics
Economic Unit	It is the study of individual economic units of an economy	It is the study of economy as a whole and its aggregates .
Scope	It deals with individual income, individual prices and individual output, etc.	It deals with aggregates like national income, general price level and national output, etc.
Central Problem	Its Central problem is price determination and allocation of resources	Its central problem is determination of level of income and employment.
Main Tools	Its main tools are demand and supply of a particular commodity/factor.	Its main tools are aggregate demand and aggregate supply of economy as a whole.
Use	It helps to solve the central problem of what, how and for whom to produce in the economy	It helps to solve the central problem of full employment of resources in the economy.
Equilibrium Analysis	It discusses how equilibrium of a consumer, a producer or an industry is attained.	It is concerned with the determination of equilibrium level of income and employment of the economy
Determinants	Price is the main determinant of microeconomic problems	Price is the main determinant of microeconomic problems
Limitation	It is based on unrealistic assumptions, i.e. In microeconomics it is assumed that there is a full employment in the society which is not at all possible.	It has been analyzed that 'Fallacy of Composition' involves, which sometimes doesn't prove true because it is possible that what is true for aggregate may not be true for individuals too.
Approach	While analyzing any economy, microeconomics takes a bottom-up approach.	The macroeconomics takes a top-down approach into the consideration.
Examples	Examples are: individual income, individual savings, price determination of a commodity, individual firm's output, consumer's equilibrium	Examples are: National income, national savings, general price level, aggregate demand, aggregate supply, poverty, unemployment etc.

MEANING OF PRIVATE SECTOR ENTERPRISES

These undertakings are owned, controlled and financed by private businessmen. There is no government participation in them. The main motive of private sector undertakings is to earn profits.

CHARACTERISTICS OF PRIVATE ENTERPRISES

(a) Private Ownership and Control:

A private sector undertaking is fully owned and controlled by the private entrepreneurs. It may be owned by one individual or by a group of individuals jointly. When owned by one person, it is called Sole Proprietorship. A group of persons may jointly own the firm in the form of joint Hindu family business, partnership, Joint Stock Company or cooperative society.

(b) Profit Motive:

The main objective of private sector undertakings is earning profits. Profits provide the reward for the risk assumed and the required return on capital.

(c) No State Participation:

There is no participation by the Central or State Governments in the ownership and control of a private sector undertaking.

(d) Private Finance:

The capital of a private sector undertaking is arranged by its owners. The sole trader contributes the capital of a sole proprietorship. In case of partnership, capital is invested by the partners. A joint stock company raises capital by the issue of shares and debentures. A private sector undertaking can also raise loans to meet its long-term and short-term needs for funds.

(e) Independent Management:

A private sector undertaking is managed by its owners. In case of sole proprietorship and partnership, the owners directly manage the firm. The management of a joint stock company lies in the hands of directors who are the elected representatives of the shareholders.

The six major problems faced by private sector in India.

1. Regulatory Procedure and Related Delays:

Too many regulatory measures imposed by the Government on the private sector has resulted in lengthy procedure and delays in getting final clearance of a new industrial project. On the

Government level, decision making system is so poor that it normally takes 7 to 8 years for large investment project to complete its gestation period.

Delegation of decision making in the Government bureaucracy is so poor that even the simple decisions are rolled back to the top level leading avoidable procedural delays, huge cost escalation, increasing interest burden and higher burden on consumers.

2. Unnecessary Control:

From the beginning, the private sector of the country is subjected to unnecessary Government control. Price controls imposed by the Government on certain goods has resulted in disincentive to increase production. Rather competition among the rival producers can enlarge the production base and thereby can reduce the prices automatically.

But in India, under the conditions of shortage, price controls, dual pricing etc. has resulted in black marketing and hoarding of such commodities. Moreover, the system of licensing of capacity as a capacity restraint has also resulted in undesirable effects on the investors instead of preventing monopolistic tendencies. It is only since 1980, unnecessary controls on the utilization of excess capacity and on the creation of new capacities have been either abolished or liberalized.

3. Inadequate Diversification:

The private sector has been suffering from inadequate diversification as the Government did not allow them to participate in those basic, heavy and infrastructural sectors which were earlier reserved for the public sector. It is only in post-1991 period, some of these areas are now opened for the private sector participation.

4. Reservation for the Small Sector:

From the initial stage of development, the Government is providing necessary support to the small industrial sector in the form of reservation of certain products exclusively for the small sector so as to save it from unfair competition of large units and also by providing excise exemption or lower excise duties on the goods produced by the small sector. But for the proper development of the small sector, modernization of their production techniques, proper product-mix, updating of designs must be given adequate priority.

5. Lack of Finance and Credit:

Although the large scale industrial corporate units of the private sector are mobilizing their fund from banks, development financial institutions and from the market through sale of their equities or debentures but the small scale units are facing acute problem in raising fund for their expansion.

6. Low Ratio of Profit:

Another important problem of the private sector enterprises is the declining trend in its net profit ratio. Accordingly, the net profit to turnover ratio of these total Indian private sector enterprises has been declining from 6.1 per cent in 1994-95 to 3.2 per cent in 1996-97 and then to 2.3 per cent in 1997-98.

Moreover, the net profit to net worth (NP/NW) reflecting on return on investment, of the total private sector enterprises also declined considerably from 15.2 per cent in 1994-95 to 6.5 per cent in 1996-97 and then to 4.7 per cent in 1997-98 as compared to that of 5.4 per cent of the Central Public Sector Enterprises (CPSEs).

Prospects of Private Sector:

Since independence, the private sector was assigned with a secondary role to participate in the industrial activity of the country by the Government. It was only since the Sixth Plan, the Government started to assign much responsibility to the private sector by allocating about 47 per cent of the total planned investment in the private sector.

Side by side, the private sector has also improved its condition, showing sufficient buoyancy and registering higher rate of growth by raising higher volume of funds from the capital market and also by setting up many joint ventures in some other countries. In spite of that, the private sector of India was about 20 years behind the schedule as compared to that of other developing countries.

In order to overcome such gap, a series of measures has been taken by the Government so as to improve the conditions of the private sector. These measures include permitting automatic expansion of capacity to a good number of industries, providing special incentive to export oriented units, exemption from MRTP restrictions on industrial units producing export goods, granting licenses easily to industrial units located in “zero industry” districts, fastening the licensing procedures, liberalisation of import and pricing policies etc. All these measures which were introduced during the Sixth Plan were further liberalised and strengthened during the Seventh Plan.

Moreover, the Government has announced the New Industrial Policy, 1991, which has liberalised the private sector considerably. The main changes brought by this new policy include abolishing the system of industrial licensing for all industrial undertaking except for a short list of 18 industries, reducing the list of industries under public sector to 8 as against the 17 industries reserved earlier, inviting private sector participation in PSUs earning higher profit, abolishing the system of pre-entry scrutiny of investment decisions of the MRTP

companies, removing the asset limit of the MRTP companies, providing automatic permission for foreign technology agreement, removal of mandatory convertibility clause etc. Thus, the new policy has assigned a greater role on the private sector by removing restrictions and controls and introduced a liberalised regime for the private sector of the country.

Thus, the prospects of the private sector in the future development programme of the country are quite bright under the new liberalised regime. Private sector has now been allowed to participate in those basic, difficult and strategic areas to compete with the public sector of the country.

Thus, this is quite a challenging situation before the private sector of the country. It is expected that the private sector will be able to accept this challenge and prove its worth within the definite time frame.

Small Scale Industries (SSIs)

The definition of SSIs is based on the criterion of value of plant and machinery which has been revised over the years. At present the small industrial unit has been classified as follows:

- i) Small Scale Industrial Units (SSI) units having investment in plant and machinery upto Rs.1 crore.
- ii) Ancillary Industrial Units having investment in plant and machinery upto Rs.1 crore. Such an undertaking must sell not less than 50 percent of its output to other industrial undertakings.
- iii) Export-oriented Units having investment in plant and machinery upto 1 crore. The unit must export at least 30 percent of its output by the end of three years from the date of commencement of production.
- iv) Tiny Units having investment in plant and machinery upto Rs.25 lakhs irrespective of location.

These are the industrial undertakings having fixed investment in plant and machinery, whether held on ownership basis or lease basis or hire purchase basis not exceeding Rs. 1 crore. SSI is defined as an unit engaged in manufacturing, serving, repairing, processing and preservation of goods and having investment in plant and machinery at an original cost of not exceeding Rs. 1 crore.

Importance of SME:

1. Employment generation
2. Optimisation Of Capital
3. Balanced Regional Development
4. Mobilisation Of Local Resources
5. Export Promotion
6. Feeder To Large Scale Industries
7. Development Of Entrepreneurship

Problems faced by SME in India

1. Lack of finance
2. Lack of availability of raw materials
3. Problem of marketing
4. Low level of technology
5. Competition from large scale industries
6. Lack of managerial skills

Meaning of Fiscal policy

The fiscal policy is concerned with the raising of government revenue and incurring of government expenditure.

To generate revenue and to incur expenditure, the government frames a policy called **budgetary policy or fiscal policy**. So, the fiscal policy is concerned with government expenditure and government revenue.

Fiscal policy has to decide on the size and pattern of flow of expenditure from the government to the economy and from the economy back to the government.

In broad term fiscal policy refers to "**that segment of national economic policy which is primarily concerned with the receipts and expenditure of central government.**"

Fiscal Policy is a policy under which the government uses its revenue and expenditure programmes to produce desirable effects and avoid undesirable effects on national income, production and employment.

Government policy of changing its taxation and public expenditure programs intended to achieve its objective"

Objectives of fiscal policy

The fiscal policy is designed to achieve certain objectives as follows :-

1. Development by effective Mobilisation of Resources

The principal objective of fiscal policy is to ensure rapid economic growth and development. This objective of economic growth and development can be achieved by Mobilisation of Financial Resources.

The central and the state governments in India have used fiscal policy to mobilise resources.

The financial resources can be mobilised by :-

Taxation : Through effective fiscal policies, the government aims to mobilise resources by way of direct taxes as well as indirect taxes because most important source of resource mobilisation in India is taxation.

Public Savings : The resources can be mobilised through public savings by reducing government expenditure and increasing surpluses of public sector enterprises.

Private Savings : Through effective fiscal measures such as tax benefits, the government can raise resources from private sector and households. Resources can be mobilised through government borrowings by ways of treasury bills, issue of government bonds, etc., loans from domestic and foreign parties and by deficit financing.

2. Efficient allocation of Financial Resources

The central and state governments have tried to make efficient allocation of financial resources. These resources are allocated for Development Activities which includes expenditure on railways, infrastructure, etc. While Non-development Activities includes expenditure on defence, interest payments, subsidies, etc.

But generally the fiscal policy should ensure that the resources are allocated for generation of goods and services which are socially desirable. Therefore, India's fiscal policy is designed in such a manner so as to encourage production of desirable goods and discourage those goods which are socially undesirable.

3. Reduction in inequalities of Income and Wealth

Fiscal policy aims at achieving equity or social justice by reducing income inequalities among different sections of the society. The direct taxes such as income tax are charged more on the rich people as compared to lower income groups. Indirect taxes are also more in the case of semi-luxury and luxury items, which are mostly consumed by the upper middle class and the upper class. The government invests a significant proportion of its tax revenue in the implementation of Poverty Alleviation Programmes to improve the conditions of poor people in society.

4. Price Stability and Control of Inflation

One of the main objective of fiscal policy is to control inflation and stabilize price. Therefore, the government always aims to control the inflation by Reducing fiscal deficits, introducing tax savings schemes, Productive use of financial resources, etc.

5. Employment Generation

The government is making every possible effort to increase employment in the country through effective fiscal measure. Investment in infrastructure has resulted in direct and indirect employment. Lower taxes and duties on small-scale industrial (SSI) units encourage more investment and consequently generates more employment. Various rural employment programmes have been undertaken by the Government of India to solve problems in rural areas. Similarly, self employment scheme is taken to provide employment to technically qualified persons in the urban areas.

6. Balanced Regional Development

Another main objective of the fiscal policy is to bring about a balanced regional development. There are various incentives from the government for setting up projects in backward areas such as Cash subsidy, Concession in taxes and duties in the form of tax holidays, Finance at concessional interest rates, etc.

7. Reducing the Deficit in the Balance of Payment

Fiscal policy attempts to encourage more exports by way of fiscal measures like Exemption of income tax on export earnings, Exemption of central excise duties and customs, Exemption of sales tax and octroi, etc.

The foreign exchange is also conserved by Providing fiscal benefits to import substitute industries, Imposing customs duties on imports, etc.

The foreign exchange earned by way of exports and saved by way of import substitutes helps to solve balance of payments problem. In this way adverse balance of payment can be corrected either by imposing duties on imports or by giving subsidies to export.

8. Capital Formation

The objective of fiscal policy in India is also to increase the rate of capital formation so as to accelerate the rate of economic growth. An underdeveloped country is trapped in vicious (danger) circle of poverty mainly on account of capital deficiency. In order to increase the rate of capital formation, the fiscal policy must be efficiently designed to encourage savings and discourage and reduce spending.

9. Increasing National Income

The fiscal policy aims to increase the national income of a country. This is because fiscal policy facilitates the capital formation. This results in economic growth, which in turn increases the GDP, per capita income and national income of the country.

10. Development of Infrastructure

Government has placed emphasis on the infrastructure development for the purpose of achieving economic growth. The fiscal policy measure such as taxation generates revenue to the government. A part of the government's revenue is invested in the infrastructure development. Due to this, all sectors of the economy get a boost.

11. Foreign Exchange Earnings

Fiscal policy attempts to encourage more exports by way of Fiscal Measures like, exemption of income tax on export earnings, exemption of sales tax and octroi, etc. Foreign exchange provides fiscal benefits to import substitute industries. The foreign exchange earned by way of exports and saved by way of import substitutes helps to solve balance of payments problem.

5 Major Instruments of Fiscal Policy

Some of the major instruments of fiscal policy are as follows:

- A. Budget : The budget of a nation is a useful instrument to assess the fluctuations in an economy.
- B. Taxation : Taxation is a powerful instrument of fiscal policy in the hands of public authorities which greatly effect the changes in disposable income, consumption and investment.
- C. Public Expenditure : The increased public spending will have a multiple effect upon income, output and employment exactly in the same way as increased investment has its effect on them.
- D. Public Works : Keynes General Theory highlighted public works programme as the most significant anti-depression device.
- E. Public Debt.: Public debt is a sound fiscal weapon to fight against inflation and deflation. It brings about economic stability and full employment in an economy.

Role of Fiscal Policy in Economic Development

1. To Mobilize Resources:

The foremost aim of fiscal policy in underdeveloped countries is to mobilize resources in the private and public sectors. Generally, the national income and per capita income is very low due to low rate of savings. Therefore, the governments of such countries through forced savings pushes the rate of investment and capital formation which in turn accelerates the rate of economic development.

It also undertakes the policy of planned investment in the public sector. Private investments have the favourable effect of increasing investment, the curtailment of conspicuous consumption and investment in unproductive channels can help to check the inflationary trend in the economy. Moreover, these countries face the problem of foreign capital. Thus the remedy lies in increasing the incremental saving ratio, the marginal propensity to save through public finance, taxation and forced loans.

To some extent, progressive taxation, heavy duty on luxury imports, ban on the manufacture of luxury and semi-luxury goods are other measures which help to mobilize the resources, Therefore, progressive taxation on windfall gains, on unearned incomes on capital gains, on expenditure and real estates etc. can go a long way in equitable distribution of wealth.

2. To Accelerate the Rate of Growth:

Fiscal policy helps to accelerate the rate of economic growth by raising the rate of investment in public as well as private sectors. Therefore, various tools of fiscal policy as taxation, public borrowing, deficit financing and surpluses of public enterprises should be used in a combined manner so that they may not adversely affect the consumption, production and distribution of wealth.

3. To Encourage Socially Optimal Investment:

In underdeveloped countries, fiscal policy encourages the investment into those productive channels which are considered socially and economically desirable. This means optimal investment which promotes economic development and avoids wasteful and unproductive investment.

In short, aim of the fiscal policy should be to make investment on social and economic overheads such as transportation, communication, technical training, education, health and soil conservation. They tend to raise productivity and widen the market to enjoy external economies. At the same time, unproductive investment is checked and diverted towards productive and socially desirable channels.

4. Inducement to Investment and Capital Formation:

Fiscal policy plays crucial role in underdeveloped countries by making investment in strategic industries and services of public utility on one side and induces investment in private sector by giving assistance to new industries and introduces modern techniques of production. Thus, investment on social and economic overheads are helpful in increasing the social marginal productivity and thereby raising the marginal productivity of private investment and capital formation. Here, optimum pattern of investment can also go a long way to yield fruitful results of economic development.

Economic development is a most dynamic process which involves changes in the size and quality of population, tastes, knowledge and social institutions. Keeping all factors in mind, if social marginal productivity in socially desirable projects is low, fiscal policy should be framed to raise social marginal productivity and to divert resources to that productive channels where the social marginal productivity is the highest.

5. To Provide more Employment Opportunities: Since in less developed countries, population grows at a very fast rate, the aim of fiscal policy in such countries is to make high doses of expenditures which are helpful to raise employment opportunities.

6. Promotion of Economic Stability:

□ Still another role played by the fiscal policy in developing countries is of maintaining reasonable internal and external economic stability. Generally, a developing country is prone to the effects of international cyclical fluctuations. Such countries mainly export primary products and import manufactured and capital goods. However, in order to minimize the effects of international cyclical fluctuations, fiscal policy should be viewed from a longer perspective.

□ It must aim at the diversification of all sectors of the economy. For bringing balanced growth and reducing the effects of cyclical fluctuations, a contra-cyclical fiscal policy of deficit budgeting in depression and surplus budgeting in inflation are most suitable measures.

□ In a recession, public works programme through deficit financing brings fruitful results. No doubt, injection of additional purchasing power would tend to inflationary pressures which can be controlled with preventive measures. On the contrary, such a policy should be supplemented by appropriate monetary measures.

(5) To Check Inflationary Tendencies:

- Inflationary tendencies is one of the main problems of developing countries as these countries make heavy doses of investment for their development activities. Thus, there is always an imbalance between the demand for and the supply of real resources.
- With additional injection of purchasing power, the demand rises and supply remains inelastic on account of its structural rigidities, market imperfections and other bottlenecks which in turn lead to inflationary pressures on the economy. Aggregate demand as a result of rise in the income of the people exceeds the aggregate supply. Capital goods and consumption goods fail to keep pace with the rising income.

(6) Reallocation of Resources: Allocation of resources are not proper in the underdeveloped countries.

(7) . Balanced Growth: Private sector in these countries normally concentrates its production on those luxury goods which are consumed mostly by richer sections who live in the urban areas. Hence, backward areas will not be developed unless government interferes into the decision making relating to industrial location

(8) Reduction of Inequality: the fiscal measures directed to the reduction of the gap between poverty and prosperity

Limitations in U.D.C:

- 1. Existence of Barter Economy:** In UDC's, there exists non-monetized sector i.e. barter system prevails in the economy. This sector remains unaffected by the fiscal policy.
- 2. Lack of Elasticity:** Taxation system in underdeveloped countries is not modern, rational and elastic. Tax evasion leads to the generation of black market. It becomes difficult to earn sufficient revenue by the way of taxes which hinders the development activities.
- 3. Inadequate Data:** Generally, in less developed countries, there is inadequate statistical data. In the absence of accurate data, the scope of fiscal policy is minimized.
- 4. Illiteracy:** Lack of knowledge and proper understanding on account of illiteracy, the scope of fiscal policy becomes limited. The common people are unable to recognize the significance of fiscal policy.
- 5. Lack of co-operation:** In U.D.Cs lack of confidence and non-cooperative attitude among people hinders the significance of fiscal policy.

MONETARY POLICY

- Monetary Policy is the process by which monetary authority of a country, generally a central bank controls the supply of money in the economy by exercising its control over interest rates in order to maintain price stability and achieve high economic growth. Government and central bank regulates quantity, use and cost of money to achieve pre-determined objectives.
- As Per Prof. Kent Monetary Policy means the system of expanding and contracting the quantity of money in circulation and also the credit to fulfill some specific objective.
- MONEY: Anything of value that serves as a (1) generally accepted medium of financial exchange, (2) legal tender for repayment of debt, (3) standard of value, (4) unit of accounting measure, and (5) means to save or store purchasing power. See also cash.

Objectives of Monetary Policy

Monetary Policy always has some pre-determined objective as per economic requirement of each country. These objectives may vary as per different nations like economic stability or high growth etc. In context of our country monetary policy has following objectives –

1. Price Stability
2. Growth
3. Social Justice
4. Controlled Expansion of Bank Credit
5. Promotion of Fixed Investment
6. Export Promotion
7. Desired Distribution of Credit

TYPES OF MONETARY POLICY

Monetary policy design changes as per the goals set for the monetary policy and the emerging economic scenario.

1. Expansionary Monetary Policy

Expansionary or easy monetary policy aims at encouraging spending on goods and services by expanding the supply of credit and money by lowering the policy rates (bank rate or repo rate), lowering the reserve requirements and purchasing the government securities from the market.

Key Actions implements:

- Decreasing the discount rate

- ▶ Purchasing government securities
- ▶ Reducing the reserve ratio

2. Contractionary Monetary Policy

Contractionary or tight monetary policy aims at preventing inflation by contracting the money supply. Contraction in money supply is achieved by increasing the policy rates, increasing the reserve requirements and purchasing the government securities from the market.

- The contractionary policy is utilized when the government wants to control inflation levels.
- Increase taxes.
- Reduce government spending
- Decrease gross domestic product (GDP)

3. Countercyclical Monetary Policy

Countercyclical policy aims at moderating the cyclical fluctuations in the economy and stabilizing the economy around its trend path by following countercyclical measures.

4. Rule Based Monetary Policy

- Under rule based policy money supply and related variables are controlled by predetermined rules, norms and standards.
- The central bank authorities cannot use their discretion to change the values of these variables.

5. Discretionary Monetary Policy

Discretionary Monetary Policy allows the central bank greater autonomy in the conduct of monetary policy. Under such a policy rather than getting constrained by the pre-set rule, the central banks, after assessing the emerging economic scenario and using its own judgment, can change the values of money supply and the related variables.